

Lloyd's

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Application and Definitions

1.1

Except in 11 and unless otherwise stated, this Part applies to:

1. (1) in accordance with Insurance General Application 3, the Society ; and
2. (2) in accordance with Insurance General Application 3, managing agents , where specified.

1.2

In this Part, the following definitions shall apply:

capacity transfer market

means any method of transferring capacity in syndicates , including capacity auctions, bilateral arrangements, capacity offers, minority buy-outs and conversion schemes.

insurance business

means the regulated activities of effecting contracts of insurance or carrying out contracts of insurance written at Lloyd's.

Lloyd's member's contribution

means assets:

1. (1) provided to a managing agent in response to a cash call; or
2. (2) held by the Society as funds at Lloyds .

underwriting agent

means a firm permitted by the Council to act as an underwriting agent at Lloyd's.

2

Special Provisions for Lloyd's

2.1

Neither the Society nor managing agents may permit a member to carry on any insurance business , except as a participant on one or more syndicates .

2.2

The Society must ensure that all participants in the Lloyd's market are made aware of their obligations under the Solvency II Firms Sector of the PRA Rulebook.

2.3

The Society must establish and maintain effective arrangements to monitor and manage risk arising from:

1. (1) conflicts of interest (including in relation to (2) to (4));
2. (2) inter-syndicate transactions, including reinsurance to close and approved reinsurance to close ;
3. (3) related party transactions; and
4. (4) transactions between members and itself.

3

Approved Reinsurance to Close

3.1

Notwithstanding that the liability of a reinsured member to a policyholder is unaffected by an approved reinsurance to close for the purposes of the Solvency II Firms Sector of the PRA Rulebook:

1. (1) for an approved reinsurance to close which is not to a subsidiary undertaking of the Society :
 1. (a) a contract of insurance reinsured under an approved reinsurance to close must be treated as if the reinsuring member and not the reinsured member had effected the original contract of insurance ; and
 2. (b) any payment received by a member as consideration for or in connection with an approved reinsurance to close must be treated as a Lloyd's member's contribution and not as premium or as a reinsurance recovery.
2. (2) for an approved reinsurance to close to a subsidiary undertaking of the Society , a contract of insurance reinsured under that approved reinsurance to close must be treated as if the reinsured member had not effected the original contract of insurance but:
 1. (a) for the purposes of the calculation of the Lloyd's SCR , general insurance business carried on by members and former underwriting members which has been reinsured to a subsidiary undertaking of the Society under an approved reinsurance to close must be treated as reinsured to a third party; and
 2. (b) for the purposes of calculating the SCR of any subsidiary undertaking of the Society which is a UK Solvency II firm , the approved reinsurance to close must be treated as a reinsurance .

4

Provision of Information by Managing Agents

4.1

A managing agent must, as soon as possible, give the Society any information the managing agent has concerning material risks to funds at Lloyd's or central assets .

4.2

A managing agent need not comply with 4.1 if the managing agent knows that the Society already has the relevant information.

5

Insurance Receivables to Be Carried to Trust Funds

5.1

The Society must take all reasonable steps to ensure that each member :

1. (1) executes the appropriate Lloyd's trust deeds ; and
2. (2) carries to the appropriate Lloyd's trust fund all amounts received or receivable by the member, or on its behalf, in respect of any insurance business carried on by it.

5.2

The Society must carry all amounts it receives on behalf of any member in respect of that member's insurance business to the appropriate Lloyd's trust fund.

5.3

A managing agent must carry all amounts it receives on behalf of any member in respect of that member's insurance business to the appropriate Lloyd's trust fund.

5.4

In complying with 5.1 to 5.3, the Society and managing agents must take all reasonable steps to ensure that amounts received or receivable by a member in respect of general insurance business and long-term insurance business are carried to separate Lloyd's trust funds.

6

Amendments to Byelaws, Trust Deeds and Standard Form Letters of Credit and Guarantees

6.1

The Society must, as soon as it is practical to do so, notify the PRA of its intention to approve the form of any new Lloyd's trust deed.

6.2

The Society must, as soon as it is practical to do so, notify the PRA of its intention to make any amendment which may alter the meaning or effect of any byelaw , including:

1. (1) any Lloyd's trust deed ;
2. (2) any standard form letter of credit prescribed by the Society from time to time; or
3. (3) any standard form guarantee agreement prescribed by the Society from time to time.

6.3

The Society must provide the PRA with full details of:

1. (1) the form of any new Lloyd's trust deed it intends to approve, as described in 6.1; and
2. (2) any amendments falling within 6.2.

6.4

The Society must consult interested parties in relation to any new Lloyd's trust deed and in relation to any amendment falling within 6.2.

6.5

The information provided to the _PRA_ by the _Society_ y under 6.3 must include:

1. (1) a statement of the purpose of any proposed amendment or new _Lloyd's trust deed_ and the expected impact, if any, on _policyholders_ , _managing agents_ , _members_ , and potential _members_ ; and
2. (2) a description of the consultation undertaken under 6.4 including a summary of any significant responses to that consultation.

7

The Central Fund

7.1

The directions in this Chapter are given under section 318 of _FSMA_ (Exercise of powers through Council) for the purpose of achieving the objective specified, as required by section 318(2) of _FSMA_.

7.2

The directions given in this Chapter are given in relation to the exercise of the powers by the _Society_ in respect of the _Central Fund_ and are given with a view to achieving the objective of ensuring that the _Society_ in making payments, or in providing any other financial assistance from the _Central Fund_ , does so on a basis which does not take into account the amounts of compensation which _policyholders_ may receive under the provisions of the _compensation scheme_ in respect of _protected claims_ against _members_.

7.3

The _Society_ must, in the exercise of its powers to make payments from the _Central Fund_ or to provide other forms of financial assistance from the _Central Fund_ , ensure that in calculating and determining the amount of any such payment or the amount of any other financial assistance, it does not take into account the amounts of compensation which _policyholders_ may receive under the provisions of the _compensation scheme_ in respect of _protected claims_ against _members_.

8

Capacity Transfer Market

8.1

The _Society_ must make appropriate _byelaws_ governing conduct in the _capacity transfer market_.

9

Former Underwriting Members

9.1

The _Society_ must ensure that sections 320 to 322 of _FSMA_ (Former underwriting members, Requirements imposed under section 320, Rules applicable to former underwriting members) are drawn to the attention of any _person_ ceasing to be an _underwriting member_ on or after 1 December 2001.

9.2

The _Society_ must require any _person_ , other than a _body corporate_ , ceasing to be an _underwriting_ _member_ on or after 1 December 2001 to:

1. (1) notify the _Society_ of any change in his address within one _month_ of the change; and
2. (2) in the case of a natural _person_ , to make arrangements for the _Society_ to be notified in the event of his death.

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Solvency II Regulations [DELETED]

10.1

[Deleted]

10.2

[Deleted]

11

Auditors and Actuaries Direction

11.1

1. (1) The _PRA_ directs that, with effect from 27 May 2014, Part XXII of _FSMA_ (Auditors and Actuaries) applies to the carrying on of _insurance business_ by _members_ as modified by (2).
2. (2) Regulations made by HM Treasury under section 342(5) and section 343(5) of Part XXII of _FSMA_ apply only to _actuaries_ appointed by a _managing agent_ in respect of the _insurance business_ of a _syndicate_ , in relation to the _long-term insurance business_ of that _syndicate_.
3. (3) In Part XXII of _FSMA_ (Auditors and Actuaries) as applied by this direction:
 1. (a) a reference to an auditor of an _authorised person_ is to be read as including an auditor appointed by a _managing agent_ in respect of the _insurance business_ of a _syndicate_ ; and
 2. (b) a reference to an _actuary_ acting for an _authorised person_ is to be read as including an _actuary_ appointed by a _managing agent_ in respect of the _insurance business_ of a _syndicate_.

12

Lloyd's and the FSCS Direction

12.1

This Chapter applies to the _Society_.

12.2

With effect from 15 October 2003, it was directed that the following _core provisions_ of _FSMA_ apply to the carrying on of _insurance market activities_ by _members_ :

1. (1) Part 9A (Rules and guidance) for the purpose of applying the rules in chapters 1 and 3, the Policyholder Protection Part, the FSCS Management Expenses Levy Limit and Base Costs Part, the Management Expenses in respect of Relevant Schemes Part and relevant interpretative provisions; and
2. (2) Part XV (Financial Services Compensation Scheme).

13

Lloyd's Members' Compensation Scheme

13.1

This Chapter applies to the _Society_.

13.2

The _Society_ must maintain _byelaws_ establishing appropriate and effective arrangements to compensate _individual members_ and _former members_ who were _individual members_ if _underwriting agents_ are unable, or likely to be unable, to satisfy claims by those _members_ relating to _regulated activities_ carried on in connection with their participation in Lloyd's _syndicates_.